Northern ARC Capital Limited

October 22, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Commercial Paper	RBI	750.00 (Enhanced from 500.00)	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of the rating to the commercial paper (CP) issue of Northern ARC Capital Limited (NACL) reflects its strong operational track record, established risk management systems, comfortable capitalisation, and diversified funding profile. The rating also factors in NACL's asset under management (AUM) growth in recent years, supported by the expansion of the direct-to-customer (D2C) segment, which has improved the average yield on its lending portfolio. NACL has also been expanding its fee-generating businesses to further diversify its revenue base.

The rating remains constrained by moderate client concentration risk in the intermediate retail lending portfolio. Stress has also been observed in certain D2C segments, including small-ticket micro, small and medium enterprise (MSME) loans, rural finance, and unsecured retail lending, where the company has relatively limited experience. CARE Ratings Limited (CareEdge Ratings) notes the elevated credit costs, though improved over last fiscal, in FY26; however, the company's earnings profile remains comfortable

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Not applicable

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Weakening of asset quality parameters, with gross non-performing assets (GNPA) of above 3% on a sustained basis.
- Decline in profitability levels, with return on total assets (ROTA) of below 1% on a sustained basis.
- Capital adequacy levels remaining below 18% on a sustained basis.

Analytical approach: Consolidated

CareEdge Ratings has analysed the consolidated business and financial risk profiles of NACL, its subsidiaries and associate. Consolidated entities are mentioned in Annexure-5.

Outlook: Not applicable

Detailed description of key rating drivers

Key strengths

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Established track record of operations and well-established risk management systems

NACL has been active in lending, fund management, and debt placement for over 16 years, building strong relationships with banks, non-banking finance companies (NBFCs), mutual funds, offshore investors, and private wealth firms. It has enabled funding for over 350 partner institutions across microfinance, affordable housing, small business loans, commercial vehicle finance, agricultural finance, and consumer finance. The company is Board-led and professionally managed, with Ashish Mehrotra as MD and CEO and P. S. Jayakumar as non-executive independent chairman. Its Board comprises eight Directors, including four Independent and two Nominee Directors, supported by a strong senior management team handling business, risk, and technology functions.

Over time, NACL has built risk management practices approved by its Board Risk Committee. Credit and risk teams assess clients at onboarding stage and continuously thereafter, with oversight from the Credit Committee. Its underwriting covers governance, MIS systems, origination, and collections, with additional geographical and district-level risk triggers. A dedicated analytics team tracks portfolio performance monthly, while field visits and daily monitoring strengthen oversight. NACL leverages its in-house technology platform, Nimbus for credit solutions business, which integrates with Digital partners via NPoS for on-lending / co-lending, and also offers Altifi, a wealth management platform for retail investors to access curated investment opportunities.

Comfortable capitalisation levels with diversified resource profile

NACL reported a consolidated tangible net worth (TNW) of ₹3,751 crore as on March 31, 2026, increased on account of internal accruals from ₹3,284 crore as on March 31, 2025. The company's capital adequacy ratio (CAR) stood healthy at 22.52% as on March 31, 2026. The current levels of capitalisation are sufficient to support the growth envisaged by NACL, and CareEdge Ratings has noted the management's guidance that the existing capital base is sufficient to support growth for the next two years. On the gearing front, debt/tangible net-worth increased to 3.27x as on March 31, 2026, from 3.00x as on March 31, 2025. Further in Q1FY27, the TNW grew and stood at ₹3,906 crores as of June 30, 2026, and the gearing on the same date stood at 3.18x.

On the resource profile's diversification front, of the total borrowings as on June 30, 2026, at NACL's standalone level, the share of bank funding stood at 55.92% (PY: 63.88%), followed by international development finance institutions at 11.72% (PY: 17.78%), NBFCs at 11.21% (PY: 6.77%), offshore funds in the form of ECBs at 8.05% (PY: 0.26%), domestic development finance institutions at 7.12% (PY: 7.64%), and others, including foreign banks, general insurance company, private wealth firms and small finance banks, among others, at 5.98% (PY: 3.67%).

Growth in AUM driven by retail (D2C) segment

The company's AUM grew at a compounded annual growth rate (CAGR) of 25% between FY22 and FY26, reaching ₹16,594 crore as on March 31, 2026, and further stood at ₹16,855 crore as on June 30, 2026. This growth was primarily driven by the strong performance of its D2C products, which cater to retail borrowers and small businesses. The D2C portfolio includes MSME funding, which is originated through 90 own branches, rural microfinance loans, which are originated through 340 branches of its subsidiary (Pragati Finserv Private Limited) and, consumer financing through 30 digital partnership arrangements. Since its inception in FY21, the D2C book has expanded significantly to ₹10,766 crore as on June 30, 2026. In terms of portfolio contribution, the share of the D2C book rose from 19% of total AUM in FY21 to 65% in as of June 2026. This growth demonstrates the company's strategic shift towards retail products.

Apart from its direct-to-customer (D2C) lending business, NACL is engaged in intermediate retail lending, wherein it provides funding to NBFCs for onward lending. The company also extends credit to mid-corporates, offers supply-chain financing to corporate borrowers, invests in financial institutions and corporates through alternative investment funds (AIFs), and provides

debt placement solutions to its clients. The lending AUM under this segment stood at ₹6,089 crore as on June 30, 2026. Growth in this segment has remained moderate compared with the D2C portfolio, in line with the management's strategy of increasing the share of D2C assets. NACL also facilitates funding for NBFCs and mid-corporates through its fund-management business and its proprietary debt investment platform, Altifi, thereby enabling prudent capital utilisation and supporting the scalability of its on-book lending operations. The company has been expanding its fund-management AUM and debt placement volumes to enhance fee-based income and diversify its revenue profile. CareEdge Ratings expects NACL to continue focusing on the expansion of its D2C portfolio while scaling up its fee-income-generating businesses, which is expected to support an improvement in profitability and greater revenue diversification over the medium term.

Comfortable earnings profile, though credit cost, remains elevated

NACL's consolidated total income increased from ₹2,356 crore in FY25 to ₹2,700 crore in FY26, reflecting a year-on-year growth of 15%. The company's topline comprises interest income from its lending portfolio, fee-based income from the credit funds managed by its subsidiary, income from the placements business and gain from the direct assignments done during the year. Over the recent years, NACL has been focusing on diversifying its revenue base by increasing the share of fee-based income while also shifting towards D2C products, aiming to improve profitability. This strategy has been visible in the improvement in net interest margins (NIMs). However, in fiscal FY26, the margins witnessed slight moderation which was compensated by the rationalisation of operating expenses driven by economies of scale and adoption of technological advancements that enabled automation and scalability.

For NACL, the credit cost, though improved from last fiscals, continued to remain elevated at 2.74% in FY26 which was 3.22% in the previous fiscal. This was primarily due to higher stress and thereby write-offs in the unsecured retail loans like consumer finance and microfinance sector, and also some stress in the secured MSME segment. NACL's write-off unsecured loans at 90 DPD which contributes higher to the credit cost vis-à-vis its peers. Additionally, the decline in credit cost over last fiscal was predominantly influenced by regulatory changes in provisioning norms applicable to the company under its partnership-based lending segment. Given the limited track record in the unsecured retail lending segment, NACL's ability to enhance its earnings from current levels while maintaining asset quality and managing growth of the lending book will continue to be an important monitorable.

Key weakness

Concentration risk in the wholesale book and stress in the D2C book

NACL's lending book is broadly divided into two key segments: lending to intermediate retail entities and D2C lending. Since the average ticket size in the intermediate retail segment is significantly larger than in D2C lending, it exposes the company to concentration risk. As on March 31, 2026, the contribution of the top 10 borrowers to the total AUM stood at ~8%, and their exposure accounted for ~34% of the TNW. This has since moderated to 7% and 30%, respectively, as on June 30, 2026. CareEdge Ratings observes that the company's ability to keep its asset quality under control remains critical, since slippage in high ticket loans, may have a significant impact on asset quality and profitability. CareEdge Ratings has taken cognisance of new accounts slipping into the NPA category during the year. Moreover, given that BBB category entities constitute 48% of NACL's wholesale exposure, the resulting concentration and associated credit risk remain key monitorable.

Within the D2C book, NACL caters to MSME lending, consumer financing, and rural financing. The company has faced challenges in these segments in the recent years, particularly in secured MSME LAP segment wherein lower ticket size portfolio has shown some stress. While the GNPA ratio in rural and consumer financing has been contained through a policy of write-offs at 90+ days past due (DPD), the stress in these portfolios has kept credit costs elevated from historic levels. In the case of partnership-based

consumer lending, write-offs have been partially offset by First Loss Default Guarantees (FLDGs). Going forward, the company's ability to manage credit costs effectively while expanding the D2C book will remain a key monitorable

Liquidity: Adequate

The company's liquidity profile is adequate, with no negative mismatches across time buckets in the asset liability management (ALM) statement as on June 30, 2026. It had cash and cash equivalents of ₹281 crore and unutilised credit lines of ₹732 crore on the same date. Liquidity is further supported by expected inflows of ₹3,938 crore over the next three months against debt repayments of ₹2,055 crore in the same period. On a consolidated basis, the company had an unencumbered cash balance of ₹275 crore as on June 30, 2026.

Environment, social, and governance (ESG) risks

Although Northern Arc Capital Limited's service-oriented business model limits its direct exposure to environmental risks, credit risk may arise if operations of any asset class in its portfolio are adversely affected by environmental factors. The company addresses these risks by integrating ESG considerations into its credit assessments and monitoring the ESG compliance of clients, supported by oversight from a Board-level ESG Committee. It also follows structured e-waste disposal through authorised recyclers, operates from green-certified office buildings and has reduced paper consumption through digital workflows.

Social risks in the form of cybersecurity threats, customer data breaches or mis-selling practices can affect Northern Arc Capital Limited's regulatory compliance and reputation and hence remain key monitorable. The company has an IT Strategy Committee overseeing IT governance, information-security governance, cybersecurity risk management and compliance with data-protection requirements. Its financial-inclusion focus is reflected in lending to underserved individuals, women, low-income households and MSMEs through its partner ecosystem. The annual report does not disclose any specific customer data breach, cybersecurity incident or related regulatory penalty during FY26. However, the company received 29,768 customer complaints during FY26, of which 29,741 were resolved, while 20 Ombudsman complaints were decided against the company, warranting continued monitoring of customer-service practices

As on March 31, 2026, Northern Arc Capital Limited's Board comprised eight Directors, including four Independent Directors and two female Directors, indicating adequate Board independence and gender diversity. The company has a structured grievance-redressal mechanism overseen by the Stakeholders' Relationship Committee, which reviews customer-service standards, the Fair Practices Code, customer data privacy and security measures, and compliance with the Internal Ombudsman framework. The company's disclosures are generally detailed and transparent; however, the significant rise in customer complaints and audit-trail limitations in certain loan-management systems remain key governance monitorable.

Applicable criteria

Consolidation
Definition of Default
Rating Outlook and Rating Watch
Financial Ratios - Financial Sector
Short Term Instruments
Non Banking Financial Companies

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Finance	Non Banking Financial Company (NBFC)

NACL caters to the credit requirements of underserved households and businesses by providing access to debt finance. The company's businesses are bifurcated into two separate parts, intermediate retail and direct to customers (D2C). Under intermediate retail, direct lending and investments along with funding to its AIFs and placement transactions are included. Under D2C, MSME, consumer financing and rural financing (MFI) is done. The company is registered with the Reserve Bank of India (RBI) as a non-deposit Middle layer NBFC and started NBFC activities in 2008 with focus on the microfinance sector, mainly to small and medium-sized MFIs. Later, NACL expanded the scope of its NBFC activities to include MSME, commercial vehicle (CV), agricultural finance (AF), corporate finance (CF), and consumer finance. NACL started Digital Lending in collaboration with Digital Partners in FY18 and further diversified into other direct retail segments Rural, Supply Chain Finance (SCF), loan against property (LAP), and education loan.

As on June 30, 2026, 16.15% stake of NACL is held by Leapfrog Financial Inclusion India Limited, 16.02% is held by Augusta Investments Pte Limited, 6.87% is held by Eight Roads Investments Mauritius (II) Limited, 6.07% by International Finance Corporation, 3.98% is held by Accion Africa-Asia Investment Company, 2.04% is held by Dvara Trust, and some stake by Northern Employee Welfare Trust, and directors and senior management of the company.

Consolidated Financials of NACL:

Brief Financials (₹ crore)	31-03-2025 (A)	31-03-2026 (A)	Q1FY27 (UA)
Total income	2,356	2,700	783
Profit after tax (PAT)	301	404	114
Assets under management (AUM)	13,634	16,594	16,855
On-book gearing (x)	3.00x	3.27x	3.18x
AUM / tangible net-worth (TNW) (x)	4.15x	4.42x	4.31x
Gross non-performing assets (NPA) / gross stage 3 (%)	0.98%	1.22%	1.00%
Return on managed assets (ROMA) (%)	2.26%	2.56%	2.61%
Capital adequacy ratio (CAR) (%)	24.72%	22.56%	22.71%

A: Audited UA: Unaudited; Note: these are latest financial results available

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:
A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CL1	24-02-2026	8.98%	23-02-2027	50.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CO5	22-05-2026	8.90%	21-05-2027	25.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CP2	22-06-2026	9.20%	21-06-2027	100.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CQ0	23-06-2026	8.90%	22-01-2027	26.30	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CR8	30-06-2026	9.20%	29-06-2027	50.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CS6	10-07-2026	8.14%	09-11-2026	25.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CT4	17-07-2026	8.80%	13-01-2027	20.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CU2	28-08-2026	8.50%	25-02-2027	10.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CU2	28-08-2026	8.50%	25-02-2027	5.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CU2	28-08-2026	8.50%	25-02-2027	3.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CU2	28-08-2026	8.50%	25-02-2027	3.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CV0	17-09-2026	8.80%	05-03-2027	35.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CW8	23-09-2026	8.80%	02-02-2027	20.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CX6	25-09-2026	8.85%	04-03-2027	25.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CX6	25-09-2026	8.85%	04-03-2027	18.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CX6	25-09-2026	8.85%	04-03-2027	7.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone)	RBI	Simple	INE850M14CY4	29-09-2026	8.85%	29-03-2027	30.00	CARE A1+
Commercial Paper-Commercial Paper (Standalone) (Proposed)	RBI	Simple	-	-	-	-	297.70	CARE A1+

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Commercial Paper-Commercial Paper (Standalone)	ST	750.00	CARE A1+	1)CARE A1+ (05-Oct-26)	1)CARE A1+ (06-Oct-25)	1)CARE A1+ (07-Oct-24)	1)CARE A1+ (26-Oct-23) 2)CARE A1+ (31-Aug-23)

ST: Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Annexure-5: List of entities consolidated

Sr. No.	Name of the entity	Extent of consolidation	Rationale for consolidation
1	Northern Arc CrediTech Solutions Private Limited (Formerly known as Northern Arc Investment Adviser Services Private Limited)	Full	Subsidiary
2	Northern Arc Investment Managers Private Limited	Full	Subsidiary
3	Northern Arc Foundation	Full	Subsidiary
4	Northern Arc Securities Private Limited	Full	Subsidiary
5	Pragati Finserv Private Limited	Full	Subsidiary
6	Finreach Solutions Private Limited (up to May 12, 2025) *	Moderate	Associate
7	Northern Arc Emerging Corporate Bond Fund	Moderate	Associate

*Ceases to be an associate as on date.

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact	**Analytical Contacts**
Mradul Mishra Director **CARE Ratings Limited** Phone: +91 22 6754 3596 E-mail: mradul.mishra@careedge.in **Relationship Contact** Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: +91 44 2850 1001 E-mail: pradeep.kumar@careedge.in	Sudam Shrikrushna Shingade Director **CARE Ratings Limited** Phone: +91 22 6754 3453 E-mail: sudam.shingade@careedge.in Shaik Abdul Saleem Associate Director **CARE Ratings Limited** Phone: +91 22 6754 3447 E-mail: Shaik.saleem@careedge.in Lokesh Warjurkar Lead Analyst **CARE Ratings Limited** E-mail: lokesh.warjurkar@careedge.in

About us:

Established in 1993, CareEdge Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the Reserve Bank of India. With an equitable position in the Indian capital market, CareEdge Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CareEdge Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CareEdge Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit. For more information: www.careratings.com

Disclaimer:

This disclaimer pertains to the ratings issued and content published by CARE Ratings Limited ("CareEdge Ratings"). Ratings are opinions on the likelihood of timely payment of the obligations under the rated instrument and are not recommendations to sanction, renew, disburse, or recall the concerned bank facilities or to buy, sell, or hold any security. Any opinions expressed herein are in good faith and are subject to change without notice. The rating reflects the opinions as on the date of the rating. A rating does not convey suitability or price for the investor. The rating agency does not conduct an audit on the rated entity or an independent verification of any information it receives and/or relies on for the rating exercise. CareEdge Ratings has based its ratings/outlook on the information obtained from reliable and credible sources. CareEdge Ratings does not, however, guarantee the accuracy, adequacy, or completeness of any information and is not responsible for any errors or omissions and the results obtained from the use of such information. The users of the rating should rely on their own judgment and may take professional advice while using the rating in any way. CareEdge Ratings shall not be liable for any losses that user may incur or any financial liability whatsoever to the user of the rating. The use or access of the rating does not create a client relationship between CareEdge Ratings and the user.

CAREEDGE RATINGS DISCLAIMS WARRANTY OF ANY KIND, EXPRESS, IMPLIED OR OTHER WARRANTIES OR CONDITIONS, TO THE EXTENT PERMITTED BY APPLICABLE LAWS, INCLUDING WARRANTIES OF MERCHANTABILITY, ACCURACY, COMPLETENESS, ERROR-FREE, NON-INFRINGEMENT, NON-INTERRUPTION, SATISFACTORY QUALITY, FITNESS FOR A PARTICULAR PURPOSE OR INTENDED USAGE.

Most entities whose bank facilities/instruments are rated by CareEdge Ratings have paid a credit rating fee, based on the amount and type of bank facilities/instruments. CareEdge Ratings or its subsidiaries/associates may also be involved with other commercial transactions with the entity. CareEdge Ratings does not act as a fiduciary by providing the rating. The ratings are intended for use only within the jurisdiction of India. The ratings of CareEdge Ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades. However, if any such clauses are introduced and triggered, the ratings may see volatility and sharp downgrades. CareEdge Ratings has established policies and procedures as required under applicable laws and regulations which are available on its website.

Privacy Policy applies. For Privacy Policy please refer to https://www.careratings.com/privacy_policy

© 2026, CARE Ratings Limited. All Rights Reserved.

This content is being published for the purpose of dissemination of information required as per applicable law and regulations and CARE Ratings Limited holds exclusive copyright over the same. Any reproduction, retransmission, modification, derivative works or use or reference to the contents, in whole, in part or in any form, is prohibited except with prior express written consent from CARE Ratings Limited.

For detailed Rating Report and subscription information, please visit www.careratings.com